WAVERLEY GATEWAY GUIDE

Connecting International Capital

US VIRGIN ISLANDS

Caribbean

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Charlotte Amalie, St Thomas	Capital and main commercial centre, home to the Governor's Office and most of the territory's air arrivals; cruise passengers on St Thomas reached 1.13 million in January to June 2026	Tourism, cruise services, retail, professional services
Cyril E. King Airport (St Thomas) and Henry E. Rohlsen Airport (St Croix)	Main air gateways, with a public-private redevelopment of both terminals under negotiation and new routes from Newark, Tampa, Puerto Rico and St Maarten in 2026	Aviation, construction, airport concessions
Crown Bay and Charlotte Amalie Harbour	Cruise and cargo port facilities where harbour dredging and cruise and cargo upgrades are planned to accommodate larger vessels	Port services, logistics, marine construction
St Croix south shore (Limetree Bay / Port Hamilton refinery and Ocean Point Terminals)	Idled refinery and adjoining storage terminal that the White House placed on a shortlist of facilities it wants restarted in July 2026	Refining, fuel storage, energy logistics
Christiansted and Frederiksted, St Croix	Historic towns and designated Enterprise Zones; St Croix cruise passengers rose to 132,499 in January to June 2026, and Club Med is redeveloping a resort on the island	Heritage tourism, hospitality, rum distilling, agribusiness
St John (Cruz Bay)	Premium tourism island with a proposed new Commercial Zone at Cruz Bay recommended by the Enterprise Zone board	Luxury hospitality, villas, eco-tourism
Solar sites (Estate Fortuna and Bovoni, St Thomas; Petronella and Hogensborg, St Croix)	New solar farms with battery storage adding 35 MW of daytime capacity on St Thomas, following two St Croix farms now online	Renewable energy, storage, grid services

INVESTOR ENTRY ROUTES

- US Virgin Islands Economic Development Authority (USVIEDA) is the principal investment agency, administering incentive programmes, Enterprise Zones and business lending

- Economic Development Commission (EDC) programme: a 90% credit against income tax, exemption from the 5% gross receipts tax and from property tax on approved facilities, and excise exemptions on building materials and raw materials
- Hotel Development Act incentives for new and refurbished hotels, used for projects such as the 126-room Hampton by Hilton on St Thomas
- Mirror tax code: the US Internal Revenue Code applies with "USVI" substituted for "United States", with sourcing and residence rules under Internal Revenue Code Sections 934 and 937
- US dollar currency, FDIC-insured banks, a federal district court within the Third Circuit and US bilateral investment treaty coverage; there are no currency or repatriation restrictions
- SSBCI small-business finance: $57.8 million awarded to the territory, used for loan guarantees and direct lending through the Economic Development Bank
- Public-private partnerships and federally funded recovery contracts in airports, ports, energy, schools and hospitals

MARKET-ENTRY OBSERVATION

The US Virgin Islands in October 2026 combines record tourism with an unprecedented federally funded rebuilding programme. Gross territorial product has risen to about $5.2 billion from $3.9 billion in 2018, and public debt has been reduced by around 25% over seven years to $1.6 billion, about 30% of GDP. Visitor arrivals reached 2.6 million in 2025, and 2026 is setting new records: first-quarter arrivals rose 12% to 303,388, air arrivals grew 9.7% and cruise passengers 40.2% in January to June, and hotel occupancy reached 73.8% with revenue per available room of $415, well above the regional average. More than $24 billion in federal disaster recovery funding has been obligated, over 1,000 projects are complete and more than 30 major projects are due to start construction in 2026–2027, alongside hotel investment backed by EDC and Hotel Development Act incentives.

The territory's main structural challenge is the cost and reliability of essential infrastructure and public finances in a small island economy. Inflation reached 7.6% in 2025, led by housing costs, power has historically been expensive, and the government's cash position is tight, with a projected deficit of about $59 million in FY2026 and a government pension system that actuaries expect to face insolvency between 2033 and 2039. The response is substantial: new solar farms with battery storage are expected to save the power utility around $10–11 million a year, Congress made the $13.25 rum cover-over rate permanent from the end of 2025, and federal recovery funds are rebuilding schools, hospitals, roads and housing. Each of these creates openings for contractors, energy developers, housing and hospitality investors, and the potential restart of the St Croix refinery would add a further industrial dimension.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Energy cost and reliability	Power generation has relied on older fossil-fuel units, raising business costs and limiting reliability	New solar and storage capacity and a FEMA-funded generation project are improving supply; investors can add on-site solar and storage, and energy projects are themselves a growth opportunity
Public finances and pension liabilities	The FY2026 budget projects a deficit of about $59 million, and the pension system is projected to face insolvency between 2033 and 2039 without further reform	Debt has fallen by around 25% in seven years and the rum cover-over rate is now permanent; investors should structure contracts with clear payment terms and favour federally funded or privately financed projects
EU tax list status	The EU Council kept the US Virgin Islands on Annex I of its list of non-cooperative tax jurisdictions on 9 October 2026, which can bring defensive tax measures for EU-based investors	EU-based investors should take tax advice on structuring; investments by US and other non-EU investors are not directly affected
Construction costs and recovery delivery	Recovery spending has been slowed by higher construction costs, limited contractor competition and the scale of the programme, with a 2035 deadline to spend FEMA funds	Experienced contractors and suppliers face strong demand, and the FEMA close-out benefit earned by the recovery office simplifies large-project administration

Issue	Potential Impact	Possible Mitigation
Cost of living and labour supply	Inflation of 7.6% in 2025 and a small workforce of around 41,000 can constrain hiring, with unemployment at 4.5% in June 2026	Invest in workforce housing and training, which are government priorities, and use EDC incentives to offset local operating costs
Airport redevelopment terms	The proposed $1.2 billion airport partnership has drawn concern from airlines over future passenger charges, and negotiations remain open	Monitor the final structure, which will set a long-term framework for airlift; either outcome creates construction and concession opportunities
Hurricane exposure	The islands lie in the Atlantic hurricane belt and were heavily affected by Hurricanes Irma and Maria in 2017	Rebuilt infrastructure is being designed to stronger standards; investors should build resilient structures and secure appropriate insurance

INVESTOR RISK NOTE

The US Virgin Islands offers a risk profile anchored by US sovereignty: the US dollar, US federal courts, FDIC-insured banking and a mirror of the US tax code give investors a familiar legal and financial framework. Tourism is at record levels, more than $24 billion in federal recovery funding is being spent through 2035, and EDC incentives can reduce the effective income tax rate on eligible income to around 2.3%. The main considerations are the territory's tight public finances and pension liabilities, high energy and living costs, and the EU's listing of the territory as a non-cooperative tax jurisdiction, which matters for EU-based investors. Each is being addressed through debt reduction, a permanent rum cover-over rate, new solar and storage capacity and continued federal support. A gubernatorial election on 3 November 2026 will bring a new administration as Governor Albert Bryan Jr. completes his final term, so investors should plan for a short transition period while incentive frameworks continue to operate under existing law.

MARKET ACCESS

The US Virgin Islands is an unincorporated territory of the United States. Unlike Puerto Rico, it lies outside the US customs territory: US Customs and Border Protection administers customs on behalf of the US Treasury, but import tariffs are set by the territory's legislature, and goods wholly or largely produced in the islands can qualify for duty-free entry to the US mainland. This allows locally produced rum to reach the US market duty-free, with federal excise taxes returned to the territory through the cover-over programme. The US mainland is the main source of visitors and the principal market, supported by new and expanded routes from Newark and Tampa and new regional services to Puerto Rico and St Maarten. Goods and services exports were $2.58 billion in 2024. The territory is covered by US bilateral investment treaties but not by US tax treaties, and it is a short hop from Puerto Rico and the British Virgin Islands, giving it a natural role in the north-eastern Caribbean.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Governor (Governor Albert Bryan Jr.)	Sets economic, budget and recovery priorities; the 3 November 2026 election will bring a new administration in early 2027	Primary reference point for the territory's strategic direction and major projects
US Virgin Islands Economic Development Authority (USVIEDA)	Runs the EDC tax incentive programme, Enterprise Zones, Hotel Development Act support and small-business lending	Standard first point of contact for incentives and market entry
Office of Disaster Recovery	Manages more than $24 billion in federal recovery funds for schools, hospitals, roads and housing	Key counterpart for construction, engineering and infrastructure contractors
Virgin Islands Port Authority (VIPA)	Owns and operates the airports and seaports and leads the airport redevelopment and harbour projects	Essential partner for aviation, port and logistics investment
Water and Power Authority (WAPA)	Territorial power and water utility, adding	Central counterpart for energy projects

Actor	Why It Matters	Waverley Engagement Angle
	solar and battery capacity and new generation	and for securing reliable supply
Department of Tourism	Leads destination marketing and airlift development behind record visitor numbers	Relevant for hospitality investment and route development
US federal agencies (Treasury and Federal Reserve system, CBP, EPA, FEMA)	The territory uses the US dollar under US monetary policy, while federal agencies oversee customs, environmental permitting and recovery funding	Relevant for banking, customs, permitting and federally funded projects

CURRENT INTERNATIONAL BUSINESS CHANNELS

USVIEDA is the main gateway for investors, and its board and staff work directly with incentive applicants and hotel developers. The St Thomas–St John and St Croix chambers of commerce provide local business networks, while the Department of Tourism works with airlines and hotel groups on route and product development. The Virgin Islands Bureau of Economic Research publishes regular economic data and testimony that provide useful market intelligence. US federal channels, including SelectUSA and the US Treasury's State Small Business Credit Initiative, are available to investors. Hotel operators, cruise lines and the established rum distillers are a practical source of intelligence on operating conditions.

INVESTOR PROFILE BEST SUITED

The US Virgin Islands suits investors who value a US legal and currency framework in a Caribbean setting: hospitality and real-estate investors drawn by record arrivals, high occupancy and Hotel Development Act incentives; engineering and construction firms able to deliver federally funded recovery projects; renewable energy, storage and utility-services investors supporting the energy transition; and professional, technology and financial-services businesses that can benefit from EDC incentives with a genuine local presence. Energy and logistics investors may also follow the potential restart of the St Croix refinery and the airport and harbour upgrades.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage USVIEDA on EDC and Hotel Development Act incentives
Discuss eligibility, investment and employment commitments, and the timeline for securing an incentive certificate before committing capital.

STEP 2: Take US, territorial and EU tax advice early
Confirm how the mirror tax code, residence and sourcing rules, and the territory's EU tax list status apply to the proposed structure.

STEP 3: Map federally funded recovery opportunities
Follow Office of Disaster Recovery procurement for the more than 30 major projects due to start construction in 2026–2027.

STEP 4: Build energy resilience into project plans
Assess on-site solar and storage alongside WAPA supply, and track the utility's new solar and generation capacity.

STEP 5: Plan engagement around the 2026 election transition
Build relationships with the current administration and incoming officials after the 3 November 2026 election to ensure continuity for major projects.